

inventory data, etc are just the tip of the iceberg. In the long run, money spent now in third party warehousing could lead to money being added to your piggy-bank tomorrow.

To staff or not to staff:

Another of the pitfalls of growth means having to handle a larger number of staff. Or perhaps, not! Leave that to your third-party warehouseers. They will be responsible for hiring and firing staff that will handle the logistics for your company. You need not spend money and time on recruiting and training staff. It's all outsourced, as far as you are concerned. Your show goes on, and the money keeps rolling in. And that's what matters at the end of the day.

Do more. Be more. :

Insanely good business models could collapse unless its creators have the time to nurture and make them grow. Most entrepreneurs busy themselves with the more mundane aspects of the business cycle and this means they leave themselves no time to focus on the more pressing aspects like sales, meeting new clients, expansion, etc. Outsource the mundane and focus on growing your business. Manage your time effectively while knowing that you logistics partner is doing their job.

When should I take to third-party warehousing?

This is an extremely difficult question to answer. Small home businesses usually start out with offices from their residential spaces. Even storage is handled in-house (literally in this case). The time to switch is based on a number of factors. But here are some sure shot reasons why you should consider switching.

- You are too busy with everything else that your business has to offer. Sales and marketing are taking up all your time. This means business is good and it is time to let someone else take care of the everyday stuff.
- You have the spare cash to make everything a little more organised now. Third party logistics would mean extra space in a warehouse for your goods. This would mean more orders can be met. All of this translates to more cash in the bank. Ka-ching!
- Your sales aren't the same through the year. Some months are better than the others. This would mean investing in a warehouse of your own would lock in too much of your capital with minimal gains. Keep